NOMURA

Global Markets Research
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Suzhou TFC Optical Communication 300394.SZ 300394 CH

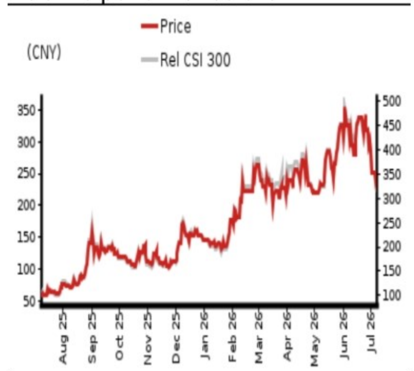
EQUITY: NETWORKING

1.6T optical engine may accelerate in 2H26...

... concerns about new technology disruption overdone

Rating Remains	**Buy**
Target price Reduced from CNY 300.51	**CNY 282.00**
Closing price 8 July 2026	**CNY 245.68**
Implied upside	**+14.8%**
Market Cap (USD mn)	20,023.4
ADT (USD mn)	2,526.0

Relative performance chart



Source: LSEG, Nomura

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Action: Maintain Buy and cut TP to CNY282, implying 15% upside

TFC's stock has pulled back by 30% from the recent high in the past month (vs ChinaNext Index down 12%) due, in our view, mainly to: 1) concerns over weak earnings owing to component and capacity shortages, 2) worries about new technologies such as glass bridges, which may disrupt the company's core products, i.e., FAU (fiber array units), in our view. We think the concerns about the company's earnings might already be priced in, and its key revenue pillar – 1.6T optical engines, may record accelerated growth in 2H26 and 2027, as a large AI customer helps to secure more supply of 200G EML chips. We slightly lower FY26F/27F revenue/earnings by 9.7-10.6%/5.9-6.2% with less aggressive assumptions for the company's module business, but we raise FY28F revenue/earnings by 4.9%/5% to reflect a more positive outlook on the CPO market. We maintain our Buy rating, but cut our TP to CNY282, based on 50x (unchanged) FY27F EPS of CNY5.63, in line with the China A-share CPO sector median P/E. The stock is trading at 43.6x FY27F EPS.

Near-term (2026): 1.6T optical engines enjoy solid demand; execution is key

We think 1.6T transceiver upgrades will be the major driver for the optical transceiver value chain in 2026-27 and expect the company's 1.6T optical engine business to enjoy strong volume and price upticks, leading to a 48% revenue CAGR over FY26-28F, contributing 55% of total sales in FY28F. We think the 200G EML shortage, which dragged down the company's performance over the past few quarters, may ease in 2H26, as there might be more diversified suppliers. However, the overall 200G EML market remains tight, and the company's execution power is crucial for its product delivery, in our view.

Longer-term (2027-28): NPO/CPO become more crucial drivers; new technology not a major threat, but be mindful of more competition in FAU/ELS markets

As a close technology partner to one of the leading global AI players, TFC is well positioned to benefit from the NPO (near-field packaging optics) / CPO (co-packaged optics) trend, in our view. The company has already developed FAU/ELS (external laser source) products, which may underpin long-term growth from 2027F onwards. We estimate the NPO/CPO revenue contribution to TFC increases from 12% in 2026F to 32% in 2028F. We think the concerns about new technology (i.e., glass bridges) disruption is overdone, as it does not have proven record in the optical transceiver / CPO market yet, and the commercialization timeline is still far from posing an actual threat to TFC's FAU solutions, in our view.

Year-end 31 Dec	FY25	FY26F		FY27F		FY28F	
Currency (CNY)	Actual	Old	New	Old	New	Old	New
Revenue (mn)	5,163	13,147	11,747	19,560	17,670	25,976	27,236
Reported net profit (mn)	2,017	4,117	3,876	6,534	6,130	9,091	9,543
Normalised net profit (mn)	2,017	4,117	3,876	6,534	6,130	9,091	9,543
FD normalised EPS	1.86	3.79	3.56	6.01	5.63	8.37	8.77
FD norm. EPS growth (%)	7.0	103.9	91.9	58.7	58.2	39.1	55.7
FD normalised P/E (x)	135.5	–	70.6	–	44.7	–	28.7
EV/EBITDA (x)	55.0	–	29.2	–	17.9	–	11.1
Price/book (x)	48.6	–	29.7	–	18.7	–	11.8
Dividend yield (%)	0.1	–	0.3	–	0.5	–	0.7
ROE (%)	42.5	55.9	53.5	54.1	52.6	48.4	51.7
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash	net cash	net cash

Source: Company data, Nomura estimates

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Key data on Suzhou TFC Optical Communication

Performance

(%)	1M	3M	12M		
Absolute (CNY)	-19.1	2.1	317.8	M cap (USDmn)	20,023.4
Absolute (USD)	-19.2	2.5	340.8	Free float (%)	52.0
Rel to CSI 300	-20.8	-2.2	297.9	3-mth ADT (USDmn)	2,526.0

Income statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	3,252	5,163	11,747	17,670	27,236
Cost of goods sold	-1,391	-2,377	-6,083	-8,761	-13,335
Gross profit	1,861	2,786	5,664	8,909	13,901
SG&A	-418	-476	-1,199	-1,804	-2,781
Employee share expense					
Operating profit	1,442	2,311	4,465	7,105	11,120
EBITDA	1,560	2,480	4,616	7,278	11,312
Depreciation	-118	-169	-152	-173	-192
Amortisation					
EBIT	1,442	2,311	4,465	7,105	11,120
Net interest expense	91	31	46	34	-2
Associates & JCEs					
Other income	2	3	-8	-17	-32
Earnings before tax	1,535	2,344	4,503	7,122	11,086
Income tax	-192	-326	-627	-991	-1,543
Net profit after tax	1,343	2,018	3,876	6,131	9,543
Minority interests	1	0	0	0	0
Other items					
Preferred dividends					
Normalised NPAT	1,344	2,017	3,876	6,130	9,543
Extraordinary items					
Reported NPAT	1,344	2,017	3,876	6,130	9,543
Dividends	-277	-389	-799	-1,264	-1,967
Transfer to reserves	1,067	1,629	3,077	4,867	7,576
Valuations and ratios					
Reported P/E (x)	145.0	135.5	70.6	44.7	28.7
Normalised P/E (x)	145.0	135.5	70.6	44.7	28.7
FD normalised P/E (x)	145.0	135.5	70.6	44.7	28.7
Dividend yield (%)	0.1	0.1	0.3	0.5	0.7
Price/cashflow (x)	154.4	146.4	132.0	46.6	45.2
Price/book (x)	67.0	48.6	29.7	18.7	11.8
EV/EBITDA (x)	88.1	55.0	29.2	17.9	11.1
EV/EBIT (x)	95.3	59.0	30.2	18.3	11.3
Gross margin (%)	57.2	54.0	48.2	50.4	51.0
EBITDA margin (%)	48.0	48.0	39.3	41.2	41.5
EBIT margin (%)	44.3	44.8	38.0	40.2	40.8
Net margin (%)	41.3	39.1	33.0	34.7	35.0
Effective tax rate (%)	12.5	13.9	13.9	13.9	13.9
Dividend payout (%)	20.6	19.3	20.6	20.6	20.6
ROE (%)	37.5	42.5	53.5	52.6	51.7
ROA (pretax %)	60.2	74.4	83.1	94.8	101.6
Growth (%)					
Revenue	67.7	58.8	127.5	50.4	54.1
EBITDA	77.8	59.0	86.1	57.7	55.4
Normalised EPS	-6.3	7.0	91.9	58.2	55.7
Normalised FDEPS	-6.3	7.0	91.9	58.2	55.7

Source: Company data, Nomura estimates

Cashflow statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	1,560	2,480	4,616	7,278	11,312
Change in working capital	-182	-84	-2,004	-475	-3,733
Other operating cashflow	-115	-528	-538	-923	-1,526
Cashflow from operations	1,263	1,868	2,074	5,879	6,053
Capital expenditure	-451	-418	-418	-418	-418
Free cashflow	811	1,451	1,657	5,462	5,635
Reduction in investments	0	0			
Net acquisitions					
Dec in other LT assets	0	0			
Inc in other LT liabilities	0	0			
Adjustments	94	153	0		
CF after investing acts	905	1,604	1,657	5,462	5,635
Cash dividends	-674	-667	-389	-799	-1,264
Equity issue	87	36	0	0	0
Debt issue	40	-40	-2	0	0
Convertible debt issue					
Others	-244	86	0	0	0
CF from financial acts	-790	-586	-390	-799	-1,264
Net cashflow	114	1,018	1,267	4,663	4,372
Beginning cash	1,864	1,978	2,997	4,263	8,926
Ending cash	1,978	2,997	4,263	8,926	13,298
Ending net debt	-1,937	-2,995	-4,263	-8,926	-13,298

Balance sheet (CNYmn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	1,978	2,997	4,263	8,926	13,298
Marketable securities					
Accounts receivable	793	1,146	3,459	3,759	7,813
Inventories	350	457	1,776	1,680	3,945
Other current assets	403	248	248	248	248
Total current assets	3,524	4,848	9,746	14,613	25,304
LT investments					
Fixed assets	1,038	1,318	1,533	1,726	1,901
Goodwill	82	90	90	90	90
Other intangible assets	93	193	193	193	193
Other LT assets					
Total assets	4,737	6,449	11,561	16,622	27,488
Short-term debt	42	2	0	0	0
Accounts payable	477	727	2,353	2,083	4,669
Other current liabilities	208	180	180	180	180
Total current liabilities	727	909	2,534	2,263	4,850
Long-term debt	0	0	0	0	0
Convertible debt					
Other LT liabilities	24	28	28	28	28
Total liabilities	751	937	2,561	2,291	4,877
Minority interest	6	7	7	7	7
Preferred stock					
Common stock	554	777	777	777	777
Retained earnings	3,426	4,729	8,216	13,547	21,826
Proposed dividends					
Other equity and reserves					
Total shareholders' equity	3,980	5,506	8,993	14,324	22,604
Total equity & liabilities	4,737	6,449	11,561	16,622	27,488
Liquidity (x)					
Current ratio	4.85	5.33	3.85	6.46	5.22
Interest cover	–	–	–	–	5,768.1
Leverage					
Net debt/EBITDA (x)	net cash	net cash	net cash	net cash	net cash
Net debt/equity (%)	net cash	net cash	net cash	net cash	net cash
Per share					
Reported EPS (CNY)	1.73	1.86	3.56	5.63	8.77
Norm EPS (CNY)	1.73	1.86	3.56	5.63	8.77
FD norm EPS (CNY)	1.73	1.86	3.56	5.63	8.77
BVPS (CNY)	3.67	5.06	8.26	13.16	20.77
DPS (CNY)	0.26	0.36	0.73	1.16	1.81
Activity (days)					
Days receivable	68.9	68.5	71.5	74.5	77.8
Days inventory	79.5	62.0	67.0	72.0	77.2
Days payable	115.9	92.4	92.4	92.4	92.7
Cash cycle	32.5	38.1	46.1	54.1	62.3

Source: Company data, Nomura estimates

Company profile

Suzhou TFC Optical Communication is a China-based company mainly engaged in passive and active optical component business. The company supplies optical component products to cloud computing data center and telecom customers.

Valuation Methodology

Our TP of CNY282.00 is based on 50x 2026F EPS of CNY5.63, in line with WIND China A share CPO sector median P/E. The benchmark index is CSI300.

Risks that may impede the achievement of the target price

Downside risks include: (1) weaker-than-expected demand for optical component/module market; (2) technology changes in optical communication market which dampens company's competitiveness; (3) top customer's change of strategy or supply chain diversification; and (4) geopolitical risks.

ESG

Suzhou TFC Optical Communication provides optical component products to telecom network and data center customers. The manufacturing of optical components requires land, equipment and other materials, which may impact the environment, while factory automation may help to improve its environmental friendliness.

Earnings forecast revisions

We lower our FY26-27F revenue forecasts by 9.7-10.6% and raise our FY28F revenue forecast by 4.9%, to reflect slower growth in its module business. We raise FY26-28F GPM forecasts by 0-1.9pp to reflect technology upgrades on optical engines for 1.6T / 3.2T transceivers, which carry higher margins. As a result, we lower FY26-27F earnings by 5.9-6.2% and raise FY28F earnings by 5.0%.

Fig. 1: Suzhou TFC – earnings forecast revisions

(CNY mn)	2023	2024	2025	2026F	2027F	2028F	2026F	2027F	2028F	2026F	2027F	2028F
	A	A	A	(NOM)	(NOM)	(NOM))	(OLD)	(OLD)	(OLD)	% diff	% diff	% diff
Turnover	1,939	3,252	5,163	11,747	17,670	27,236	13,147	19,560	25,976	-10.6%	-9.7%	4.9%
% chg yoy	62%	68%	59%	128%	50%	54%	155%	49%	33%			
COGS	(886)	(1,391)	(2,377)	(6,083)	(8,761)	(13,335)	(7,063)	(9,990)	(12,731)	-13.9%	-12.3%	4.8%
Gross Profit	1,053	1,861	2,786	5,664	8,909	13,901	6,084	9,570	13,246	-6.9%	-6.9%	4.9%
OPEX	(191)	(325)	(434)	(1,176)	(1,793)	(2,806)	(1,313)	(1,982)	(2,677)	-10.5%	-9.6%	4.8%
Operating Income	862	1,536	2,352	4,488	7,116	11,095	4,771	7,588	10,569	-5.9%	-6.2%	5.0%
% chg yoy	91%	78%	53%	91%	59%	56%	103%	59%	39%			
Pretax income	841	1,535	2,344	4,503	7,122	11,086	4,783	7,591	10,562	-5.9%	-6.2%	5.0%
% chg yoy	86%	83%	53%	92%	58%	56%	104%	59%	39%			
Tax	(111)	(192)	(326)	(627)	(991)	(1,543)	(666)	(1,056)	(1,470)	-5.9%	-6.2%	5.0%
Profit to shareholders	730	1,344	2,017	3,876	6,130	9,543	4,117	6,534	9,091	-5.9%	-6.2%	5.0%
% chg yoy	81%	84%	50%	92%	58%	56%	104%	59%	39%			
		40%	60%									
Ratio Analysis												
GPM	54.3%	57.2%	54.0%	48.2%	50.4%	51.0%	46.3%	48.9%	51.0%	1.9pp	1.5pp	0.0pp
OPEX	9.8%	10.0%	8.4%	10.0%	10.1%	10.3%	10.0%	10.1%	10.3%	0.0pp	0.0pp	0.0pp
OPM	44.5%	47.2%	45.5%	38.2%	40.3%	40.7%	36.3%	38.8%	40.7%	1.9pp	1.5pp	0.1pp
NPM	37.6%	41.3%	39.1%	33.0%	34.7%	35.0%	31.3%	33.4%	35.0%	1.7pp	1.3pp	0.0pp

Source: Company data, Nomura estimates

Fig. 2: Suzhou TFC – quarterly earnings forecast

(CNY mn)	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26F	3Q26F	4Q26F
	A	A	A	A	A	A	A	A	A	A	A	A
Turnover	732	824	839	857	945	1,511	1,463	1,245	1,330	1,862	2,980	5,575
% chg yoy	155%	119%	55%	17%	29%	83%	74%	45%	41%	23%	104%	348%
COGS	(325)	(332)	(344)	(391)	(444)	(765)	(677)	(491)	(577)	(966)	(1,528)	(3,012)
Gross Profit	406	493	495	466	501	746	785	754	753	896	1,452	2,563
OPEX	(82)	(73)	(123)	(47)	(106)	(109)	(127)	(92)	(176)	(160)	(273)	(567)
Operating Income	324	420	372	420	395	637	659	662	577	737	1,179	1,996
% chg yoy	198%	164%	58%	17%	22%	52%	77%	58%	46%	16%	79%	202%
Pretax income	324	420	373	419	395	639	658	651	574	708	1,151	2,069
% chg yoy	199%	164%	59%	24%	22%	52%	77%	55%	45%	11%	75%	218%
Tax	(44)	(44)	(50)	(54)	(57)	(77)	(92)	(99)	(82)	(99)	(160)	(286)
Profit to shareholders	279	375	322	367	338	562	566	552	492	610	991	1,783
% chg yoy	203%	161%	59%	26%	21%	50%	76%	50%	46%	9%	75%	223%
Ratio Analysis												
GPM	55.5%	59.8%	59.0%	54.4%	53.0%	49.4%	53.7%	60.6%	56.6%	48.1%	48.7%	46.0%
OPEX	11.3%	8.8%	14.6%	5.5%	11.3%	7.2%	8.7%	7.4%	13.2%	8.6%	9.2%	10.2%
OPM	44.2%	50.9%	44.4%	49.0%	41.8%	42.1%	45.0%	53.2%	43.4%	39.5%	39.5%	35.8%
NPM	38.1%	45.5%	38.4%	42.8%	35.7%	37.2%	38.7%	44.3%	37.0%	32.7%	33.3%	32.0%

Source: Company data, Nomura estimates

By segment, we lower FY26-27F revenue for others segment (ELS module) by 37.5-40.0% and raise FY28F revenue by 25.0% to reflect large-scale ELS module growth since FY28F.

Fig. 3: Suzhou TFC – revenue forecasts by segment

	2023	2024	2025	2026F	2027F	2028F	2026F	2027F	2028F	2026F	2027F	2028F
By Product												
Passive Optical components	1,183	1,576	2,084	2,860	4,069	5,990	2,860	4,069	5,990	0.0%	0.0%	0.0%
Active Optical components	746	1,655	2,998	6,787	10,452	14,946	6,787	10,452	14,946	0.0%	0.0%	0.0%
Others	9	20	81	2,100	3,150	6,300	3,500	5,040	5,040	-40.0%	-37.5%	25.0%
GPM												
Passive Optical components	60.2%	68.4%	63.7%	64.2%	65.7%	66.2%	64.2%	65.7%	66.2%	0.0pp	0.0pp	0.0pp
Active Optical components	44.8%	46.7%	46.6%	47.1%	49.1%	49.6%	47.1%	49.1%	49.6%	0.0pp	0.0pp	0.0pp
Others	62.5%	46.2%	75.6%	30.0%	35.0%	40.0%	30.0%	35.0%	37.0%	0.0pp	0.0pp	3.0pp
By region												
China	346	778	1,324	2,073	3,119	4,807	2,321	3,453	4,585	-10.6%	-9.7%	4.9%
y-y growth	*-32%*	*125%*	*70%*	*57%*	*50%*	*54%*	*75%*	*49%*	*33%*			
% in total	*18%*	*24%*	*26%*	*18%*	*18%*	*18%*	*18%*	*18%*	*18%*			
Overseas	1,592	2,473	3,839	9,674	14,552	22,429	10,827	16,108	21,391	-10.6%	-9.7%	4.9%
y-y growth	*131%*	*55%*	*55%*	*152%*	*50%*	*54%*	182%	49%	33%			
% in total	*82%*	*76%*	*74%*	*82%*	*82%*	*82%*	*82%*	*82%*	*82%*			
GPM												
China	52.4%	61.0%	60.8%	59.8%	58.8%	57.8%	59.8%	58.8%	57.8%	0.0pp	0.0pp	0.0pp
Overseas	54.7%	56.0%	51.6%	45.7%	48.6%	49.6%	43.4%	46.8%	49.5%	2.4pp	1.8pp	0.1pp

Source: Company data, Nomura estimates

Our FY26-28F revenue forecasts are 34-71% higher than WIND consensus, and our earnings forecasts are 18-56% higher, as we are more positive on volume and ASP growth of high-end products such as 1.6T/3.2T optical engines and FAU, as well as high-end components for NPO/CPO products.

Fig. 4: Suzhou TFC – Nomura vs Consensus

CNY mn	FY2025	FY2026F			FY2027F			FY2028F		
		(NOM)	(CON)	diff	(NOM)	(CON)	diff	(NOM)	(CON)	diff
Revenue	5,163	11,747	8,748	34%	17,670	11,822	49%	27,236	15,901	71%
Pretax Profit	2,344	4,503	3,740	20%	7,122	5,020	42%	11,086	7,202	54%
Net Profit	2,017	3,876	3,283	18%	6,130	4,357	41%	9,543	6,112	56%
EPS	1.86	3.56	3.01	18%	5.63	3.99	41%	8.77	5.60	56%

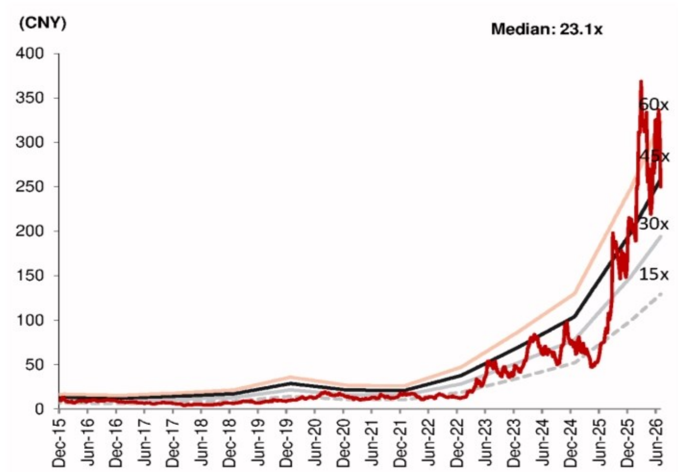
Source: Company data, WIND, Nomura estimates

Valuation and risks

Our TP of CNY282 is based on 50x (unchanged) 2027F EPS of CNY5.63, in line with the WIND China A-share CPO sector median P/E.

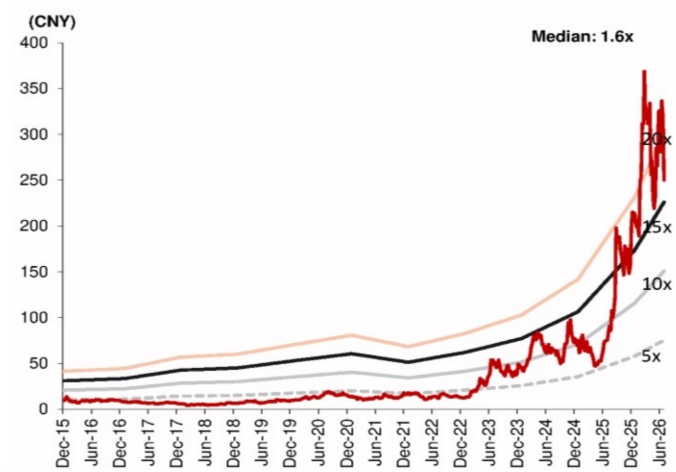
Downside risks include: (1) weaker-than-expected demand for optical components/ modules; (2) technological changes in the optical communication market that could dampen the company's competitiveness; (3) top customer's change of strategy or supply chain diversification, and; (4) geopolitical risks.

Fig. 5: Suzhou TFC – 12-month-forward P/E bands



Source: Company data, Nomura estimates

Fig. 6: Suzhou TFC – 12-month-forward P/B bands



Source: Company data, Nomura estimates

Appendix A-1

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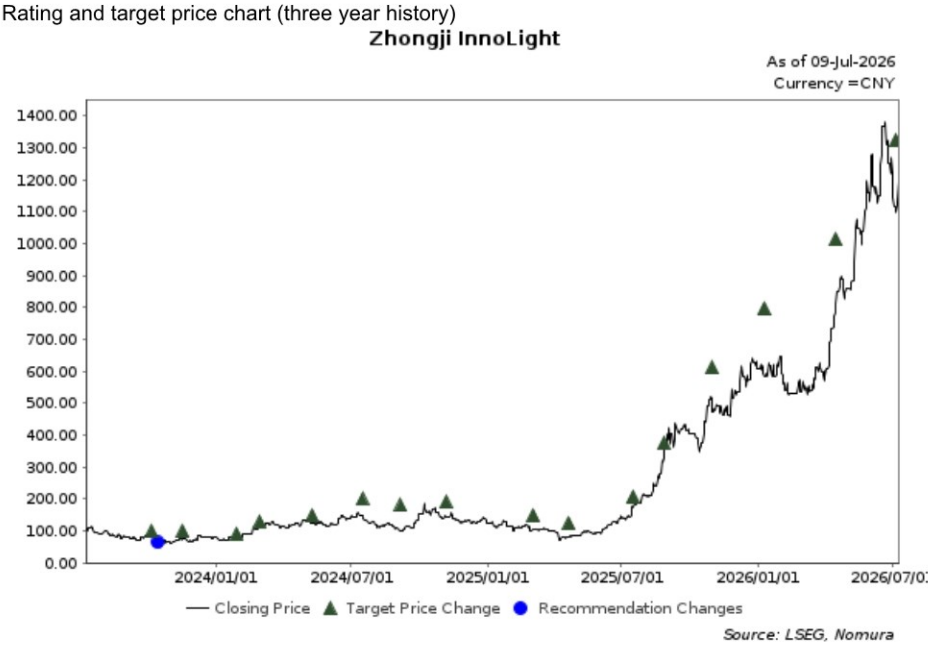
Materially mentioned issuers

Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Zhongji InnoLight	300308 CH	CNY 1,128.35	08-Jul-2026	Buy	N/A	
Suzhou TFC Optical Communication	300394 CH	CNY 245.68	08-Jul-2026	Buy	N/A	

Zhongji InnoLight (300308 CH) **CNY 1,128.35 (08-Jul-2026)** Buy (Sector rating: N/A)

Rating and target price chart (three year history)



Date	Rating	Target price	Closing price
06-Jul-26		1,325.00	1,098.92
16-Apr-26		1,015.00	809.61
09-Jan-26		799.00	583.20
31-Oct-25		612.00	473.01
27-Aug-25		375.00	325.10
16-Jul-25		208.50	170.76
21-Apr-25		125.00	81.19
04-Mar-25		150.00	102.46
06-Nov-24		190.00	142.90
06-Sep-24		180.00	99.42
16-Jul-24		200.00	148.12
10-May-24		149.29	122.29
29-Feb-24		128.57	110.83
29-Jan-24		91.43	74.16
17-Nov-23		100.00	75.42
06-Oct-23	Buy		82.71
06-Oct-23		98.57	82.71

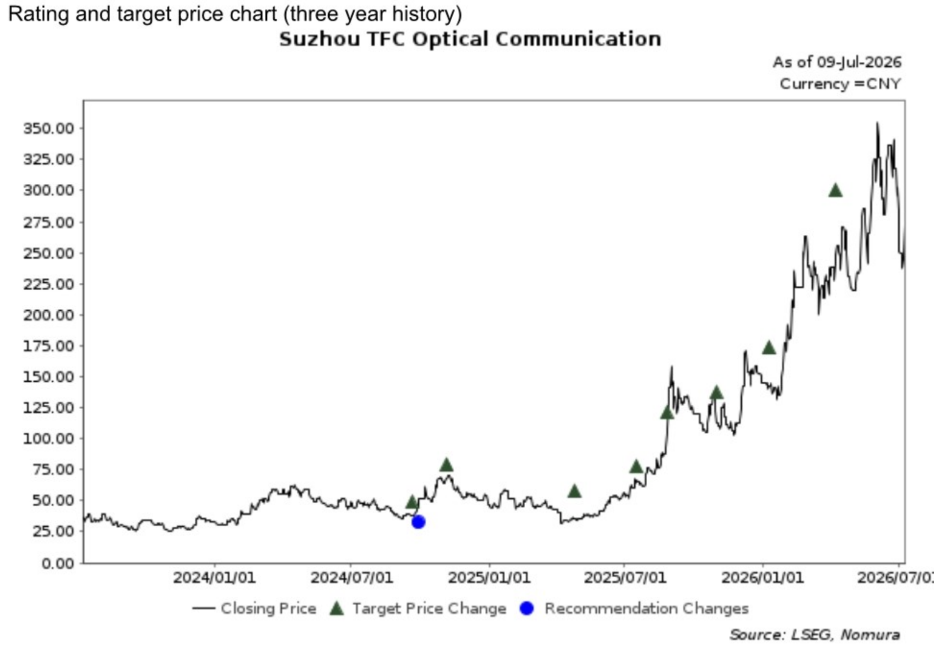
For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of CNY1,325.00 is based on 20x 2027F EPS of CNY66.06, in line with the WIND China's A share tech / electronic component sector median P/E range. The benchmark index is CSI300.

Risks that may impede the achievement of the target price Downside risks: 1) weaker-than-expected demand for high-end optical modules in both the datacom and telecom markets; 2) fierce competition in the 400G and 800G optical modules segments; 3) slower-than-expected product upgrades (i.e., 800G, 1.6T); and 4) escalated price war which may affect company's export to global customers.

Suzhou TFC Optical Communication (300394 CH) **CNY 245.68 (08-Jul-2026)** Buy (Sector rating: N/A)

Rating and target price chart (three year history)



Date	Rating	Target price	Closing price
08-Apr-26		300.51	240.72
09-Jan-26		173.87	142.14
31-Oct-25		137.38	112.86
26-Aug-25		120.92	103.41
17-Jul-25		77.99	66.27
25-Apr-25		58.07	35.84
06-Nov-24		79.66	67.61
20-Sep-24	Buy		37.45
20-Sep-24		48.82	37.45

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of CNY282.00 is based on 50x 2026F EPS of CNY5.63, in line with WIND China A share CPO sector median P/E. The benchmark index is CSI300.
Risks that may impede the achievement of the target price Downside risks include: (1) weaker-than-expected demand for optical component/module market; (2) technology changes in optical communication market which dampens company's competitiveness; (3) top customer's change of strategy or supply chain diversification; and (4) geopolitical risks.

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